WEEKLY SHIP RECYCLING REPORT

bestoasis

10th December to 17th December 2021

Highlights of the Week

The ship recycling market looks to finish the year quietly with barely any activity being witnessed as the lack of tonnage being offered combined with a paucity of buying interest at the current price levels has resulted in very few deals getting finalized this week. The subcontinent market has seen a further softening of about USD 5/LDT in offer prices as the domestic demand remains dull and the end buyers are looking for stability in prices before securing tonnage. Small and mid-sized tonnage between 10-20k LDT are being preferred whereas larger tonnage is hardly getting interest from buyers due to volatile market conditions.

Oil market is feeling the weight of bearish sentiments as surging cases of the Omicron variant and increasing international travel restrictions have raised fears on the future demand of oil.

Iron ore has defied forecasts for a fall into the end of the year as positive signs of further stimulus measures from China and future demand prospects kept the prices above USD 110/MT.

The rapid spread of Omicron variant, even though causing mild symptoms, is now weighing heavily on the global supply chain with extended quarantine requirements and crew change difficulties. Lack of personnel due to infections, port congestion due to closures, lack of ship capacity and containers, and shortages in production are altogether adding additional burden to the marine transportation sector.

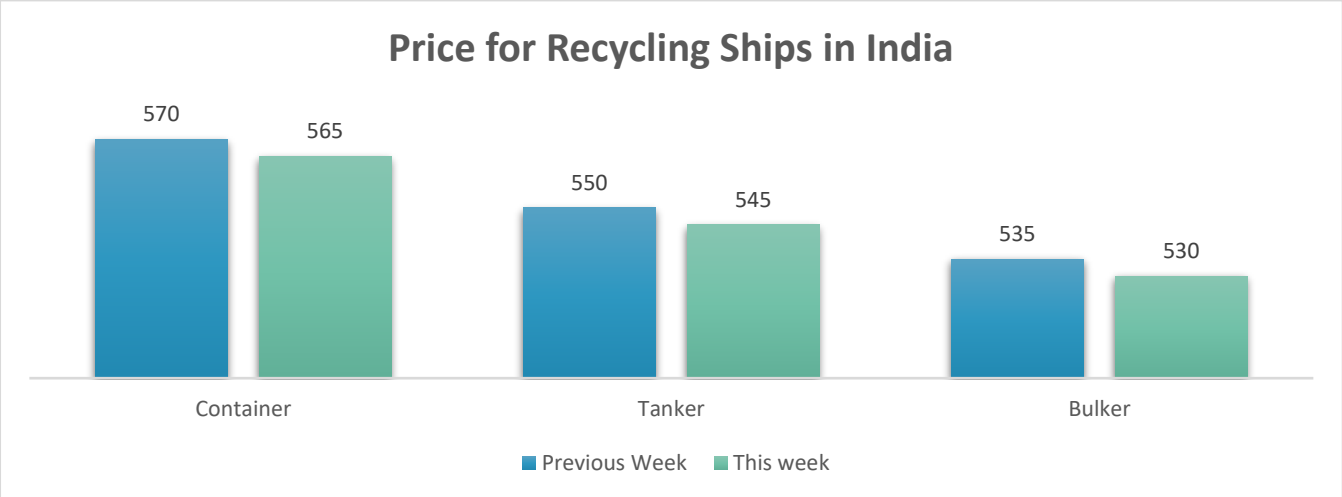
INDIA

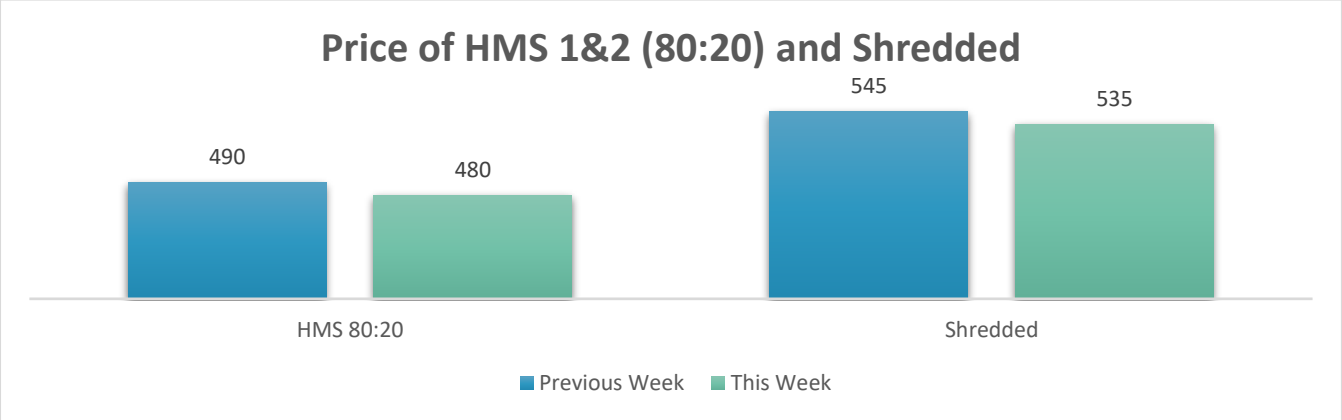
Market remains muted

The volatility in steel prices has induced a state of vigilance among the end buyers who are reluctant to secure tonnage at the prevailing levels for the time being. They are looking for a correction in price and boost in demand for steel from the domestic market before making any move.

Major mills are reducing offers for overseas market as no active booking inquiries are coming at the current prices.

Domestic prices of HRC and CRC reported a sharp decline for the fifth consecutive week due to stagnating demand and stalled purchases in the domestic market.





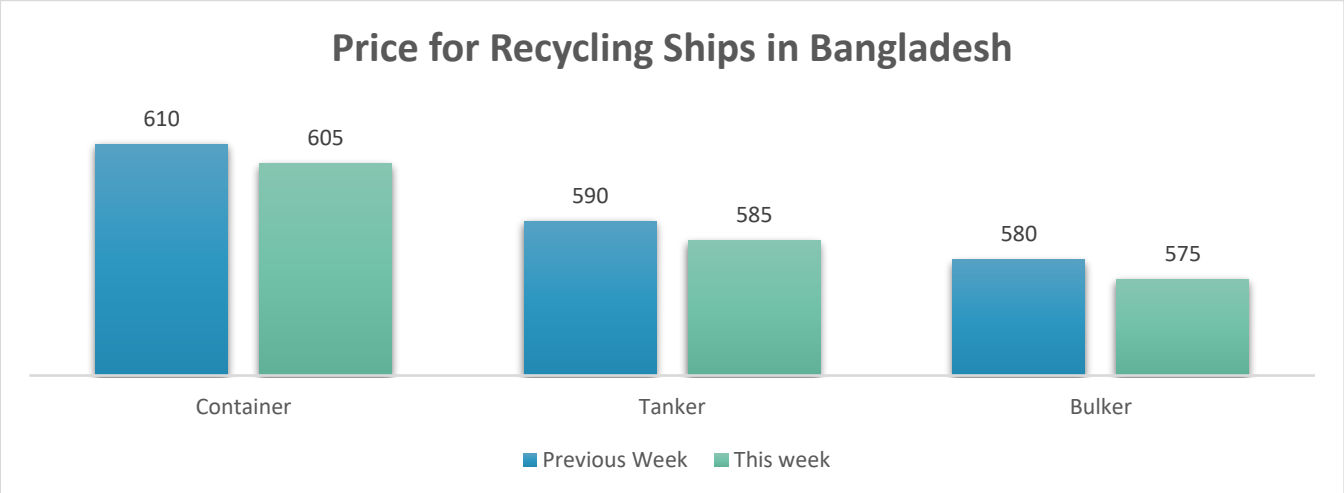
Beaching Dates:
17th December to 24th December 2021

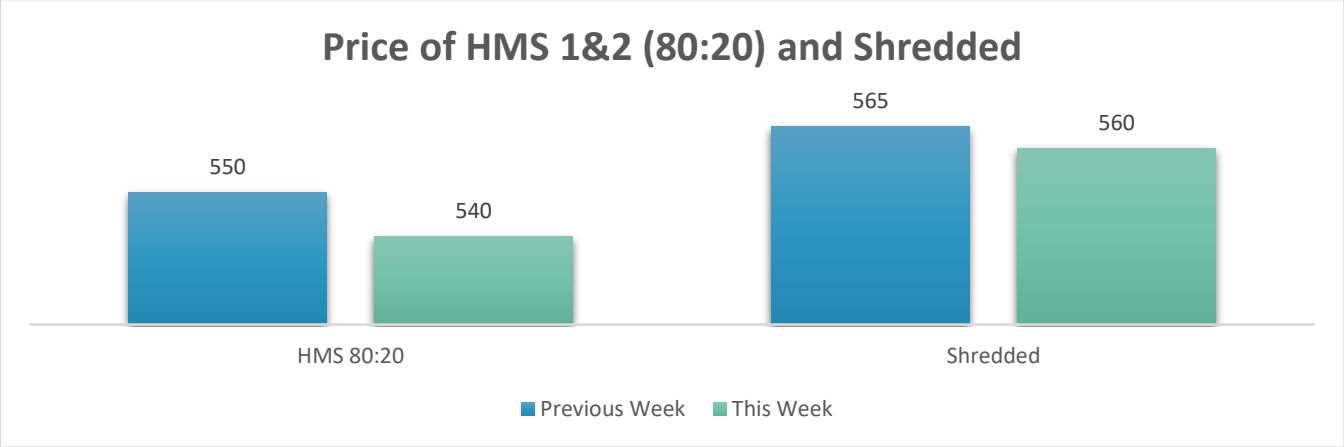
BANGLADESH

Market remains silent due to sluggish demand

There is no significant activity in the market as yard owners are apprehensive towards buying at the prevailing price levels. There are decent number of inquiries for small and mid-sized tonnage as they can be recycled within short span of time whereas there is very limited demand for larger tonnage as they take much longer period for getting recycled. Among the major three subcontinent markets, Bangladesh is yet again leading the price charts.

The mills are shying away from placing bulk orders as the demand for steel scrap remained low due to limited finished steel activity.





Beaching Dates:
18th December to 21st December 2021

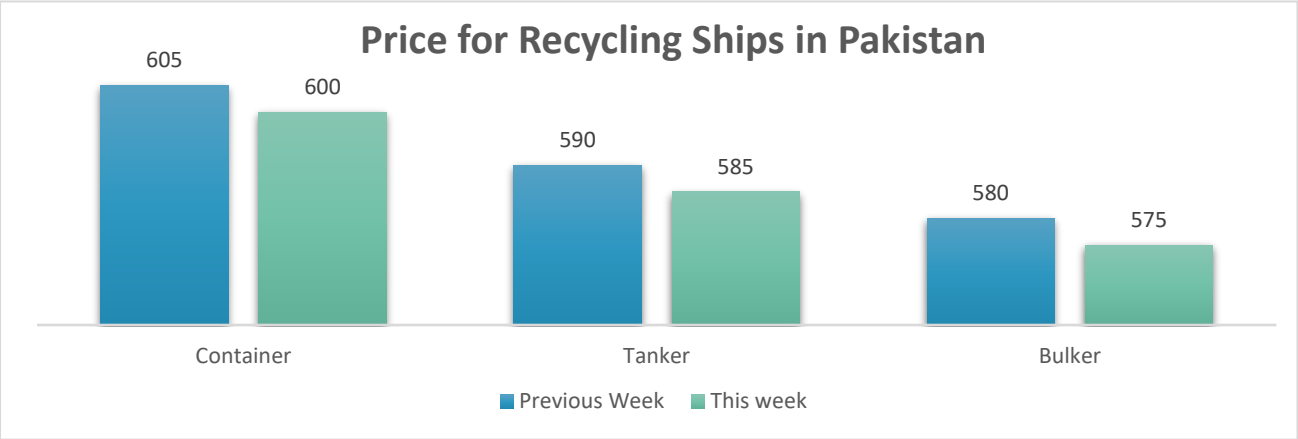
PAKISTAN

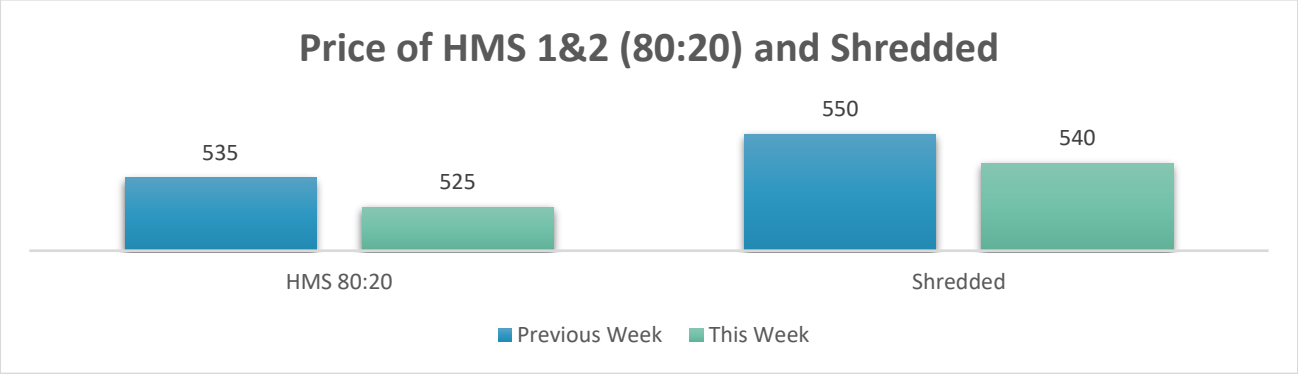
PKR hangs on hope from IMF

The demand for tonnage remains stable however the ship owners are expecting higher prices which the buyers are not able to offer in the present scenario. This mismatch in price expectations has led to an oddly quiet market since past few weeks.

In recent months, the value of Pakistani rupee has got eroded due to multiple factors pertaining to debt repayments by the Pakistan government and inflationary pressures. A potential release of funds from IMF is expected to give the rupee some respite and pave way for a broader recovery for the economy and the currency.

Pakistan's central bank on Tuesday announced its decision to lift the benchmark interest rate by 100 basis points to 9.75 per cent to counter rising inflation and a large current account deficit.





Beaching Dates:
Throughout the month

TURKEY

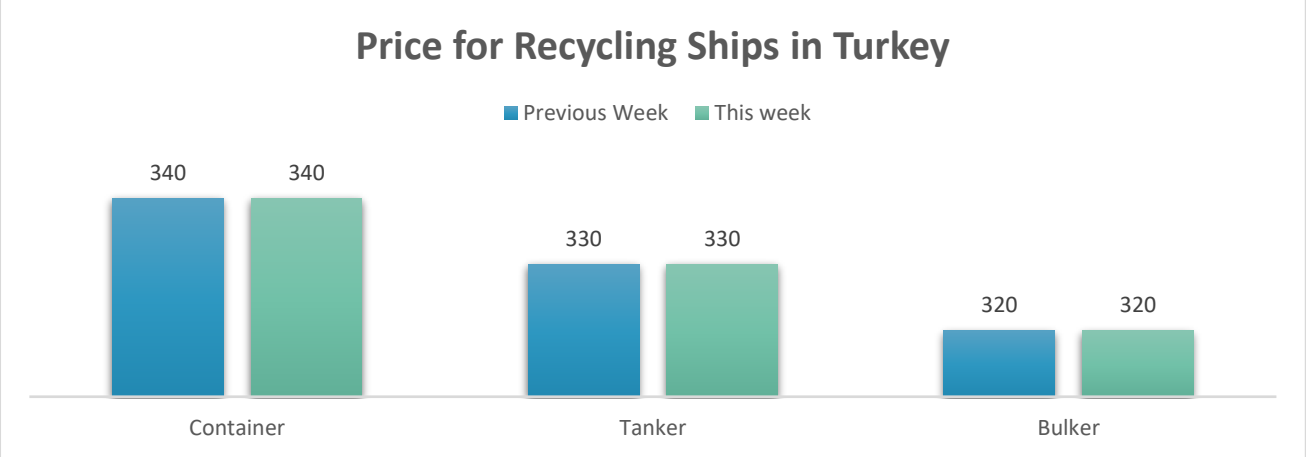
Lira plunges to historic lows

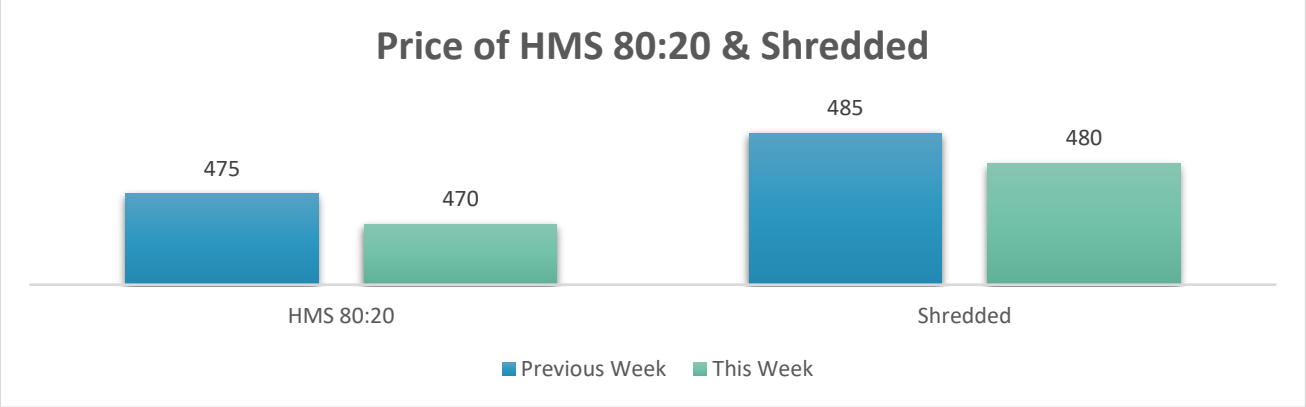
One cruise ship of about 5,000 LWT has arrived in Aliaga this week.

The domestic as well as imported scrap prices have further softened by USD 5/MT this week.

The Turkish lira blew past another record low after the central bank cut interest rates for a fourth straight month, a move that risks jeopardizing currency stability and stoking inflation already running at the fastest pace in three years. It is currently being traded at TL 16.64/USD.

Energy and Raw material prices have increased to a great extent with weakening of Lira as the raw materials are bought in USD and the final products are sold in the domestic currency.



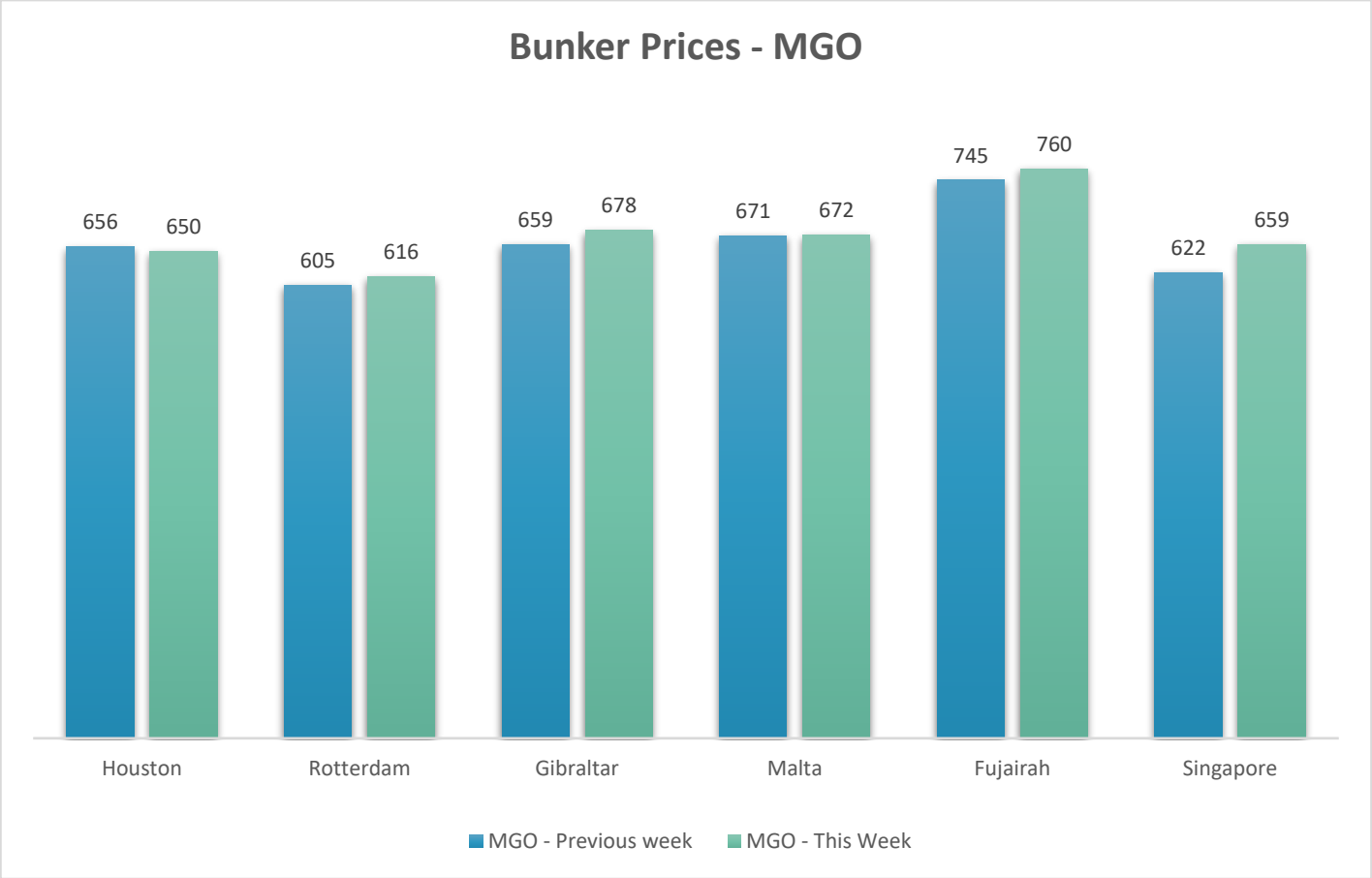


Beaching Dates:
Throughout the month

LIST OF VESSELS SOLD THIS WEEK

Vessel Name	Type of Vessel	Year of Build	Country of Build	LDT	Term of Sale	Location of Delivery	Sale Price/LDT (USD)
BANDA SEA	RAIL CARRIER	1982	JAPAN	11,792.00	AS-IS	USA	440
POLAR ROCK	TANKER	1996	JAPAN	16,620.64	DELIVERED	PAK/BD	UNDISCLOSED
SEA LATITUDE	TANKER	2001	S. KOREA	42,682.00	AS-IS	BATAM	571 (With additional payment for Bunkers & Lubes)

BUNKER PRICES AT PORT



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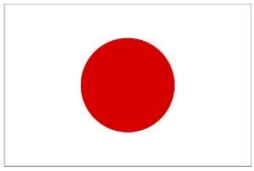

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